NVIDIA Corporation

NVDA NASDAQ

Buy	$217.11 ▲ 0.01%	12M Price Target	52-Week Range	Market Cap
		$260.00	$164.27 – $243.37	$5.24T

NVDA: Coiling Near Highs as Export Rules Loom

WHAT HAPPENED

- Basically nothing moved today — stock closed at $217.11, dead flat. But look at the volume: 47M shares vs. the usual 100M+. That's a "nobody wants to make a move before earnings/news" tape, which usually means the stock is coiling for its next big move rather than drifting.
- Options flow is screaming bullish though — call buyers outnumbered put buyers nearly 2:1, with huge unusual activity in $215 and $217.50 calls expiring this month. Translation: big money is betting on a near-term pop, likely tied to catalysts in the next 1-2 weeks.

WHY IT MATTERS

The flat price masks what's really happening — NVDA is sitting at 67% of its 52-week range with institutions holding 71% of the float and smart money loading up on short-dated calls. That setup usually resolves higher unless there's a nasty surprise. The bigger picture: we're in a window where the Trump administration is actively negotiating a China tech framework, and whatever comes out of that is the single biggest swing factor for NVDA's next $500B of market cap. The insider selling from the General Counsel in September is noise (lawyers sell on schedules), not a signal — don't let it spook you.

POLICY & POLITICAL WATCH

The big one: the Commerce Department is finalizing rules on which Blackwell chip variants can ship to China, and Jensen has been publicly lobbying for a middle path (think: downgraded B30A chips). If approved, that's $15-20B in incremental annual revenue unlocked. On the other side, the CHIPS Act 2.0 discussions in Congress include potential subsidies for domestic AI infrastructure buildout, which flows straight to NVDA. Also watch: the EU AI Act enforcement kicks into a new phase in Q1 2027, and NVDA's compliance posture is actually a moat vs. smaller chip rivals who can't afford the legal overhead.

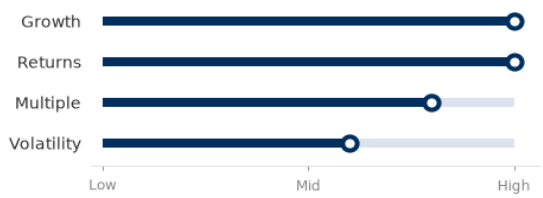
IS IT EXPENSIVE?

At $5.24T market cap and ~45x forward earnings, you're paying $45 for every $1 of profit NVDA is expected to make next year — expensive on an absolute basis, but reasonable when earnings are still growing 40%+ annually (that's a PEG ratio around 1, which is the Goldilocks zone). Compare that to peers like AMD trading at 35x with slower growth, and NVDA actually looks fair. The valuation only becomes a problem if hyperscaler capex (Microsoft, Google, Meta, Amazon spending) rolls over — and all four just guided capex UP for 2026.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$217.11**
12M Price Target	**$260.00**
Upside / (Downside)	**+19.8%**
Market Cap	**$5.24T**
FY2026E Revenue	**$215M**
FY2027E Revenue	**$285M**
FY2026E EPS	**$4.85**
FY2027E EPS	**$6.60**
Fwd P/E	**44.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

NVDA — NVIDIA Corporation | October 20, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$235.00**	$222.00	**$200.00**
6 Months	**$270.00**	$240.00	**$190.00**
1 Year	**$310.00**	$260.00	**$180.00**
2 Years	**$380.00**	$300.00	**$170.00**
5 Years	**$550.00**	$400.00	**$200.00**
10 Years	**$900.00**	$600.00	**$250.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.2% today, +5.8% this week) is on fire — likely drug pricing clarity and some M&A chatter. Financials and Real Estate rallying together suggests the market is pricing in rate cuts, which is historically rocket fuel for tech/AI names.

COOLING OFF: Tech isn't on the leaderboard today, which is actually why NVDA is flat — money rotated OUT of mega-cap tech into rate-sensitive sectors (REITs, utilities, financials all up on lower-yield bets).

ROTATION WATCH: Classic "rate cut rotation" happening — money leaving crowded AI trades into beaten-down rate-sensitive names. This is usually a 1-2 week phenomenon before money flows BACK into AI leaders when the next earnings catalyst hits. NVDA reports in mid-November.

RELATED PLAY: If you believe the AI capex story, the power/cooling infrastructure plays (VRT, ETN, data center REITs like EQIX) are the second-derivative trade. They benefit whether NVDA or custom silicon wins.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI chip deals with hyperscalers — ironically a competitor to NVDA but the market is treating them as complementary
- VRT (Vertiv): Data center cooling/power — benefits from every GPU NVDA ships regardless of margin pressure on NVDA itself

NVDA CONTEXT: NVDA is in a consolidation phase while adjacent AI infrastructure names are breaking out — that's typically what you see before NVDA's own breakout, as the trade broadens then rotates back to the leader. Not a bearish signal.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The setup is strong (bullish options, institutional accumulation, earnings coming) but China policy is a real wild card that keeps me from a 10.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown on bad China news doesn't wreck your year.

ENTRY POINTS: I'd add on any pullback to $205-210. The stock has strong support there and that's where institutions have been buying.

TIME HORIZON: 12-24 months. Near-term catalyst is Q3 earnings in mid-November; longer-term it's the sovereign AI deals and 2027 capex guidance from hyperscalers.

WHEN TO BAIL: If Microsoft or Meta cuts capex guidance, OR if China gets a full Blackwell ban, OR if revenue growth slows below 25% YoY — any of those three and I'm trimming hard.

HEDGING: Simplest hedge is just owning some healthcare or utility exposure to balance it out. If you want to get fancy, buy out-of-the-money puts on the semiconductor ETF (SMH) — cheaper than NVDA puts and covers the whole sector drawdown risk.

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